



FIYMA Program

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RISK MANAGEMENT FRAMEWORK

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Scope Context and Criteria

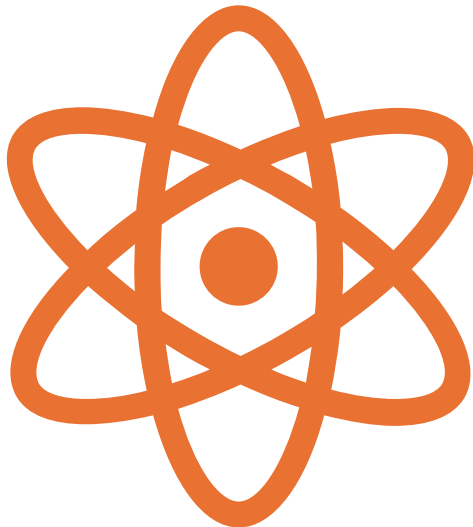
Risk Identification

Risk Evaluation

Risk Treatment

Risk Reporting and Monitoring

Risk Management Definition

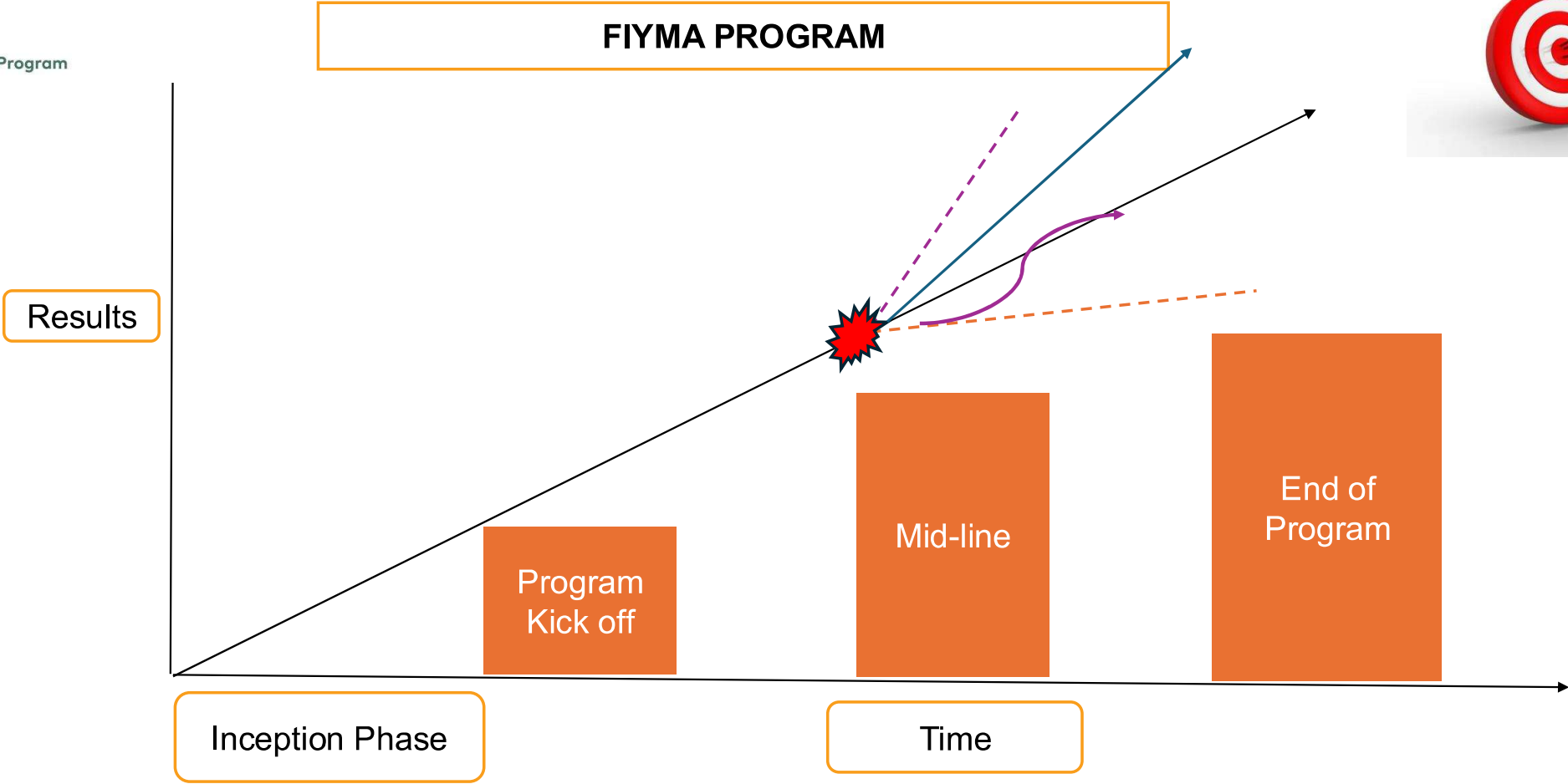


According to ISO 31000, *risk* is the “*effect of uncertainty on objectives*” and an *effect* is a positive or negative deviation from what is expected.

An effect is a deviation from the expected. It can be positive, negative or both, and can address, create or result in opportunities and threats.



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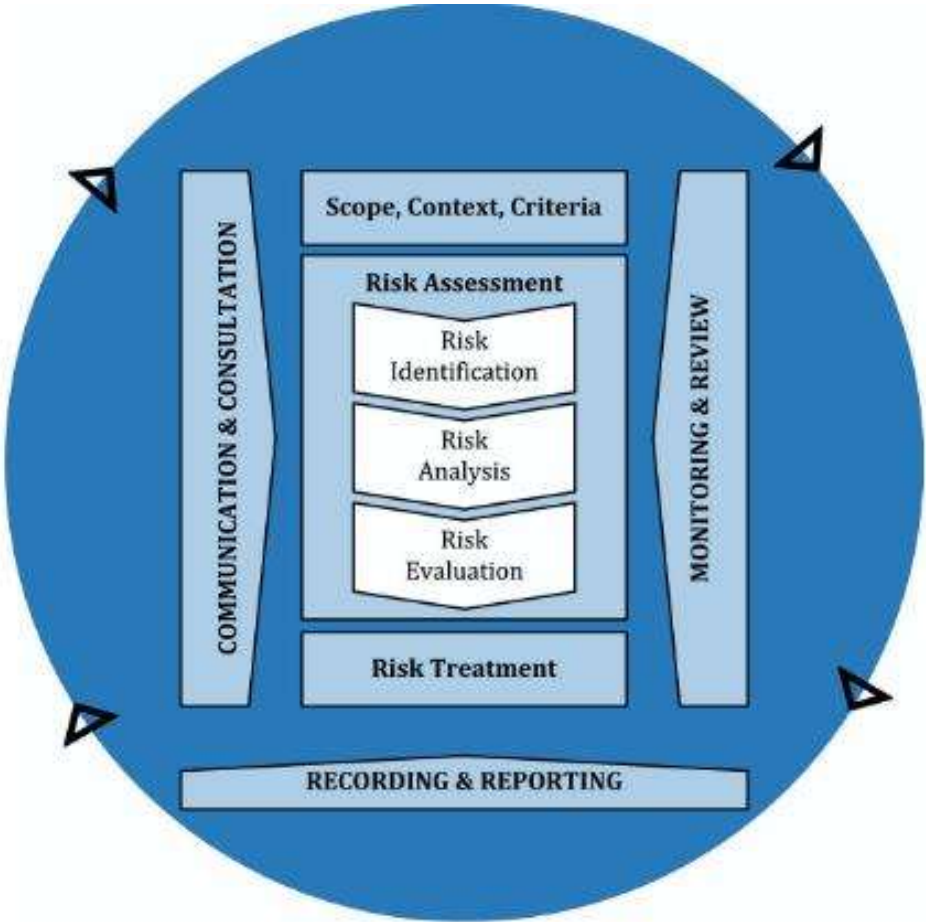


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Insignificant	Minor	Moderate	Major	Intolerable
• Program/ project/ org suffers adverse financial impact (If the risk materializes the cost will be <100,000)	• Program/ project/ org suffers adverse financial impact (If the risk materializes the cost will be between 100,000 – 500,000) • Mastercard Foundation withholding part of program funds	• Program/ project/ org suffers adverse financial impact (If the risk materializes the cost will be between 100,000 – 500,000) • Mastercard Foundation withholding part of program funds	• Program/ project/ org suffers adverse financial impact (If the risk materializes the cost will be between Ksh.1m -5 m) • Mastercard Foundation withholding funds from the program	• Program/ project/ org suffers severe adverse financial impact (If the risk materializes the cost will be > Ksh. 5 m) • Mastercard Foundation withdrawing funds from the program

Likelihood Ranges & Risk Ratings (Low, Medium, High, Critical)

Rare	Unlikely	Possible	Likely	Almost Certain
Extraordinary event – might occur every 1 – 5 years. <u>and/or</u> very low chance (<20%) of materializing	Possibly once a year <u>and/or</u> low chance (20% - 40%) of materializing	Might occur once a quarter <u>and/or</u> chance of materializing between 40% - 60%	Will probably occur once a month <u>and/or</u> high chance of materializing (60% - 80%)	Is expected once a week <u>and/or</u> chance of materializing above 80%

Medium-5	Medium-10	High-15	Critical-20	Critical-25
Low-4	Medium-8	High-12	Critical-16	Critical-20
Low-3	Medium-6	Medium-9	High-12	High-15
Low-2	Low-4	Medium-6	Medium-8	Medium-10
Low-1	Low-2	Low-3	Low-4	Medium-5



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Critical	Requires intervention from Programme Steering Commitee; requires prompt action to implement new program level controls to treat the risk.]
High	Affects the ability of the Consortium Partner to deliver its results - existing controls may be effective but could require additional action and/or controls to be managed at the executive management level.]
Medium	Impacts completion of a critical Interventions, Deliverable or activity - existing controls must be effective and possible additional actions may need to be implemented. Requires Intervention by the Programme Manager
Low	Managed with current practices dealt with by routine operations effectiveness.]

Risk Rating

Enter the definition for the risk rating.

If [event], due to [root cause],
then [consequences].

OR

The risk that [event], caused
by [root cause], may result in
[consequences].



3 Components of an **Effective** Risk Statement



01

Event

The trigger for the risk and what connects the other two components. Be descriptive and concise when describing the event for your statement.



02

Root Cause

The base reason for why something is happening. Work to identify the cause by asking "why" to help get to the key issues.



03

Consequence

How will this impact the organization if the event is enabled by the root cause? There can be a few or many, with all of their own implications.

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	Event	Cause	Consequence
	There is a risk that ...	As a result of ...	Which will impact in...

4 types of risk management techniques



Avoidance

Risk avoidance is a proactive approach that involves avoiding actions or decisions that could potentially introduce risks to the organization.



Mitigation

Risk mitigation is a risk management technique that requires implementing measures to decrease the likelihood or impact of a risk.



Acceptance

Accepting risk is a strategic choice made with the understanding that some level of risk is inevitable in pursuing business objectives.



Transference

Risk transference is a risk management technique that involves shifting the potential impact of a risk to a third party, like insurance.

Monitoring and Review



The purpose of monitoring and review is to assure and improve the quality and effectiveness of process



Design, implementation and outcomes.



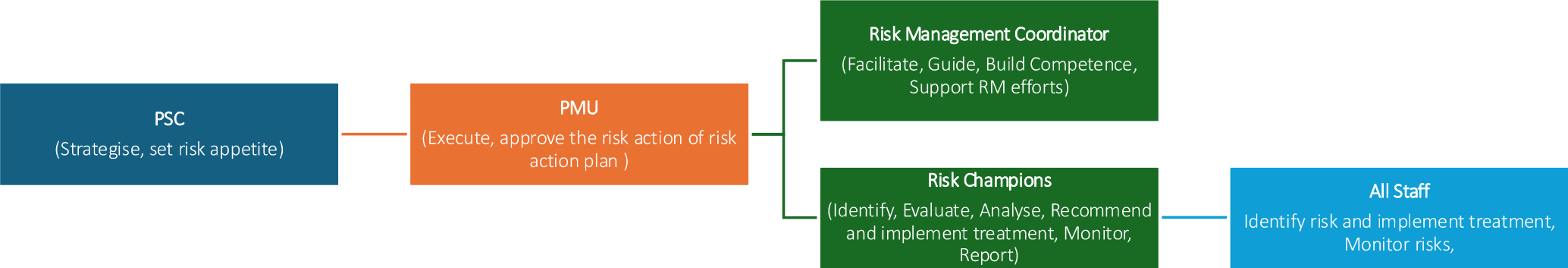
Ongoing monitoring and periodic review of the risk management process and its outcomes should be a planned part of the risk management process, with responsibilities clearly defined.



Performance management, measurement and reporting activities.



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FIYMA Program Risks Areas Identified

- Program level risk due to unintended consequences, conflict of interest and market distortion
- Program level risk due to limited external evidence that the program will achieve the desired outcomes
- Safeguarding risks
- Risks to the active participation of young women
- Partner level risk around capacity, ability to scale and technical risks
- Programatic risk
- Financial risk
- Reputational risk



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